PAPER – 3: TAXATION

SECTION A: INCOME TAX LAW

The Income-tax law, as amended by the Finance (No. 2) Act, 2024, including significant notifications/ circulars issued upto 30th June, 2025, is applicable for January, 2026 examination. The relevant assessment year for January, 2026 examination is A.Y.2025-26. The October, 2024 edition of the Study Material is based on the provisions of Income-tax law as amended by the Finance (No. 2) Act, 2024 and significant notifications/circulars issued upto 30.09.2024. The said study material has to be read along with the Statutory Update containing notifications and circulars issued upto 30.06.2025 but not covered in the study material webhosted at https://resource.cdn.icai.org/87604bos-aps2049-int-p3a-su-jan2026.pdf.

QUESTIONS

Case Scenario

Mr. Vivek Malhotra, an Indian resident, has four residential properties in India. Two of them are in Delhi, of which one is self-occupied and second is let out for monthly rent of ₹ 1,40,000 to Mr. Sushil, a salaried individual. The other two properties are in Mumbai. To reduce his tax liability, he gifted one of the residential house properties in Mumbai to his wife, Mrs. Anika and second one to his minor daughter, Ms. Pooja, without adequate consideration in April 2024. Expected monthly rent of self-occupied property in Delhi is ₹ 50,000 and expected monthly rent of property in Mumbai is ₹ 75,000 each. He paid municipal taxes amounting to ₹ 1,20,000 for let out property.

In addition, Vivek sold a plot of land in Bengaluru on 19.12.2024 for ₹ 49 lakhs for which he has paid 1% as brokerage on sale consideration. The stamp duty value on the date of sale was ₹ 55 lakhs. This plot of land was purchased by him in 1992 for ₹ 3 lakhs. The fair market value and stamp duty value of this plot of land as on 1st April 2001 were ₹ 7.2 lakhs and ₹ 7 lakhs, respectively. Mr. Vivek invested ₹ 12 lakhs in RECL bonds on 15.07.2025.

Further, he has taken life insurance policy "A" on 15.05.2023 and policy "B" on 1.7.2023 for 10 years with a sum assured of ₹ 35 lakhs and ₹ 25 lakhs, respectively. The annual premium payable on this policy is ₹ 3.5 lakhs and ₹ 2.5 lakhs, respectively.

Mr. Vivek has opted out of the default tax regime under section 115BAC.

CII for F.Y. 2001-02: 100; F.Y. 2024-25: 363

Based on the facts of the case scenario given above, choose the most appropriate answer to the following multiple-choice questions:

1. Compute the income taxable under the head "Income from House Property" in the hands of Mr. Vivek?

   (a) ₹ 10,92,000

   (b) ₹ 15,12,000

   (c) ₹ 17,22,000

   (d) ₹ 17,20,500

2. Compute the income taxable under the head "Capital Gains" in the hands of Mr. Vivek?

   (a) ₹ 29,04,000

   (b) ₹ 29,10,000

   (c) ₹ 35,51,000

   (d) ₹ 47,51,000

3. Determine the amount of tax credit to be available to Mr. Vivek for F.Y. 2024-25 if tax has been deducted by the deductor(s)?

   (a) ₹ 88,600

   (b) ₹ 58,800

(c) ₹ 55,000

(d) Nil

4. In F.Y. 2033-34, Mr. Vivek received the maturity proceeds from both the policies of ₹ 40 lakhs and ₹ 27 lakhs, respectively. Considering the most beneficial to Mr. Vivek, which of the following statements is correct?

(a) The maturity proceeds from both the policies "A" and "B" is exempt under section 10(10D).

(b) The maturity proceeds from policy "A" is exempt but from policy "B" is taxable.

(c) The maturity proceeds from policy "B" is exempt but from policy "A" is taxable

(d) The maturity proceeds from both the policies "A" and "B" is taxable since the annual premium payable exceeds ₹ 5 lakhs.

5. Compute the tax liability of Mr. Vivek for A.Y. 2025-26?

(a) ₹ 7,74,370

(b) ₹ 9,32,330

(c) ₹ 9,18,750

(d) ₹ 8,35,220

6. Ms. Aanchal, an Indian Citizen, is a government employee working for the Indian Government. She submits the following information for the previous year ending on 31.03.2025:

		₹
1	Salary income received in Malaysia for services rendered there	2,00,000
2	Profits from business carried on in Chennai	80,000
3	Loss from business carried on in Vadodara	(20,000)
4	Loss from business carried on in USA (though profits are not received in India, business is controlled from Rishikesh)	(46,000)
5	Unabsorbed depreciation of business in USA	(16,000)

6	Profits from business in Bali (controlled from Delhi) and 60% of profit deposited in a bank in Bali and 40% received in India	70,000
7	Rent from house property situated in USA and received in USA	1,92,000

Determine the gross total income of Ms. Aanchal for the A.Y. 2025-26 assuming that she has opted out from the provisions of section 115BAC on the assumption that she is:

(1) Resident but not ordinarily resident in India

(2) Non-resident in India

7. Ms. Ashima, aged 45 years, has been the HR manager for the past 15 years in Shipra Ltd. She gives you the following particulars for F.Y. 2024-25:

Basic Salary ₹ 70,000 p.m.

Dearness Allowance ₹ 24,000 p.m. (30% of which forms part of retirement benefits)

Bonus ₹ 21,000 p.m.

Ms. Ashima contributes 18% of basic salary as contribution to RPF. Her employer contributes the same amount to her RPF account.

The company pays medical insurance premium of ₹ 20,000 to effect insurance on the health of Ms. Ashima.

She received arrears of salary of ₹ 3,35,000. The details of arrears of salary are as follows:

Previous year	Total Income (₹)	Arrears now received (₹)
2021 – 2022	9,50,000	1,20,000
2022 – 2023	10,90,000	1,10,000
2023 – 2024	12,10,000	1,05,000

Compute the relief available under section 89 and the tax payable for the A.Y. 2025-26. Assume that Ms. Ashima exercises the option of shifting out of the default tax regime provided under section 115BAC(1A) for A.Y. 2025-26.

For A.Y. 2022-23 and A.Y. 2024-25, Ms. Ashima has paid tax as per section 115BAC. However, for A.Y. 2023-24, she has paid tax under normal provisions of the Act.

Note: Rates of Tax

The rates of tax under normal provisions of the Act for A.Y. 2022-23, A.Y. 2023-24 and A.Y. 2024-25 are same as for A.Y. 2025-26. The rates of tax as per section 115BAC for different years are as follows:

Assessment Year	Slab rates of income-tax	
	Slabs	Rate
2022-23	Upto ₹ 2,50,000	Nil
	₹ 2,50,001 - ₹ 5,00,000	5%
	₹ 5,00,001 - ₹ 7,50,000	10%
	₹ 7,50,001 - ₹ 10,00,000	15%
	₹ 10,00,001 - ₹ 12,50,000	20%
	₹ 12,50,001 - ₹ 15,00,000	25%
	Above ₹ 15,00,000	30%
2023-24	Upto ₹ 2,50,000	Nil
	₹ 2,50,001 - ₹ 5,00,000	5%
	₹ 5,00,001 - ₹ 7,50,000	10%
	₹ 7,50,001 - ₹ 10,00,000	15%
	₹ 10,00,001 - ₹ 12,50,000	20%
	₹ 12,50,001 - ₹ 15,00,000	25%
	Above ₹ 15,00,000	30%
2024–25	Upto ₹ 3,00,000	Nil
	₹ 3,00,001 - ₹ 6,00,000	5%
	₹ 6,00,001 - ₹ 9,00,000	10%
	₹ 9,00,001 - ₹ 12,00,000	15%
	₹ 12,00,001 - ₹ 15,00,000	20%
	Above ₹ 15,00,000	30%

8. Mr. K is a 48-year-old resident individual. The details of income earned for the P.Y. 2024-25 from diversified businesses and investment portfolio are as under:

(i) He runs two businesses:

- A manufacturing business with profit of ₹ 10,00,000.
- A speculative business with loss of ₹ 7,00,000.

(ii) He incurred a loss of ₹ 2,15,000 from a let-out property and also earned an income of ₹ 50,000 from the activity of owning and maintaining race horses. For earning this income, he incurred an expense of ₹ 5,000.

(iii) He has earned short-term capital gains of ₹ 50,000 from equity shares sold on 10.05.2024 on which STT was paid, and long-term capital loss of ₹ 75,000 from other assets sold on 15.10.2024.

(iv) Mr. K took divorce from his wife in April 2024 and the custody of their minor son is given to Mrs. K. Following the divorce, he transferred ownership of house property to his wife. During the financial year, the property generated rental income of ₹ 5,00,000.

(v) Mr. K deposits cash of ₹ 50,000 every month into the bank account of his minor son. During the P.Y. 2024-25, interest income of ₹ 25,000 is generated in his son's bank account.

(v) He has also contributed a sum of ₹ 2 lakh to an electoral trust and incurred expenditure of ₹ 30,000 on advertisement in a brochure of a political party.

(vi) He authored an investment portfolio book and received royalty income of ₹ 4,10,000 during the P.Y. 2024-25 from a publisher in Germany. The royalty is calculated at 16% of book sales value. He incurred ₹ 60,000 as expenditure for earning this income. Out of the total royalty, ₹ 2,90,000 was remitted to India by 31st August 2025, and the balance remained in abroad till 30.9.2025.

Compute the total income of Mr. K assuming that he exercises the option of shifting out of the default tax regime. Assume Mr. K's total income, excluding the minor's income, is higher than that of his wife.

9. Examine the applicability and determine the amount of tax deduction at source as per the Income-tax Act, 1961 for the A.Y. 2025-26 in the following situations:

   (i) ABC Ltd., having its registered office in Noida, organized its annual company function at its Gurgaon office. For this purpose, the company engaged Beta Pvt. Ltd. to arrange road transport for its employees from Noida to Gurgaon and back, for which a payment of ₹ 25,000 has to be made. Further, ABC Ltd. also entered into a separate contract with Beta Pvt. Ltd. for providing catering services at the function, for ₹ 90,000.

   (ii) Vijay Health Solutions Ltd., a Third-Party Administrator (TPA), makes payments to various hospitals across India towards settling cashless medical insurance claims on behalf of insurance companies. During the financial year 2024-25, the total payment made by Vijay Health Solutions Ltd. to LifeCare Hospital for cashless claims is ₹ 12,00,000.

10. Mr. Vaibhav, a resident individual aged 46 years, engaged in the business of plywood and sculptures, maintains his books of account under section 44AB. He follows the mercantile system of accounting and regularly files his return of income. The profit and loss account for the year ended on 31.3.2025 shows a net profit of ₹ 51,42,000 after debiting/ crediting the following:

    (i) During the year, Mr. Vaibhav had taken professional services from a lawyer in relation to a business dispute. The legal fees was amounted to ₹ 1,00,000. Tax has been deducted on time but did not deposit it with the government within the due date. The TDS was later on deposited on 15th November 2025.

    (ii) Vaibhav had renovated his office by engaging in the services of his brother, as the existing office premises had become very old and required refurbishment. The total payment made for the renovation amounted to ₹ 2,50,000 which is reasonable to the extent of ₹ 1,50,000.

    (iii) He purchased goods worth ₹ 30,000 from Vishnu & Co., a micro enterprise, on March 01, 2025. According to the written agreement between them, the payment was to be made by 05th April 2025. However, he made payment to Vishnu & Co on 15th April 2025.

(iv) Depreciation as per profit and loss account is ₹ 13,66,000.

Additional Information:

(a) As per restructuring agreement with the bank, the bank has converted unpaid interest of ₹ 6,00,000 into a new loan account repayable in 20 equal annual installments. The first installment was paid in March 2025.

Vaibhav claimed the entire interest amount of ₹ 6,00,000 as an expense while computing his business income.

(b) Depreciation as per Income-tax Rules, 1962 is ₹ 12,00,000.

(c) He contributed ₹ 50,000 towards Tier I account of NPS during the year. Further, he has invested in five-year term deposit of ₹ 1.5 lakhs.

(d) He employed 90 new employees during the P.Y. 2024-25, the details of whom are as follows:

No. of employees	Date of employment	Regular / Casual	Total monthly emoluments per employee (₹)
20	1.4.2024	Regular	24,000
25	1.5.2024	Casual	24,500
30	1.8.2024	Regular	26,000
15	1.9.2024	Casual	23,500

The regular employees participate in recognized provident fund while the casual employees do not.

(e) Mr. Vaibhav had sculptures in the form of capital assets acquired in January 2015, for ₹ 1,80,000. Later on, in F.Y. 2023-24, he started sculpture business and converted these capital assets into stock-in-trade for his business. Fair market value at the time of conversion was ₹ 3,50,000. Subsequently, he sold the stock-in-trade on June 10, 2024, for ₹ 5,00,000. No entry has been made in books for conversion and sale of converted sculptures.

You are required to compute the total income and tax liability of Mr. Vaibhav for the A.Y. 2025-26 if he opts out of the default tax regime.

CII for F.Y. 2014-15: 240; F.Y. 2023-24: 348; F.Y. 2024-25: 363